

INSTITUTE OF ACTUARIES OF INDIA
EXAMINATIONS

February 2025

Subject CB2 – Business Economics

Time allowed: 3 Hours 15 Minutes (09.30 – 12.45 Hours)

Total Marks: 100

- 1) For good X, a movement along the demand curve occurs when: [1.5]
- A. There is a change in the price in the substitute good Y
 - B. There is a change in the income of the customers
 - C. There is a change in the expectations of future price of good X
 - D. There is a change in the price of X
- 2) If a rise in the price of Good A causes the demand curve for Good B to shift to the left, then: [1.5]
- A. Good A and Good B are complements
 - B. Good A and Good B are substitutes
 - C. Good A is a normal good and Good B is an inferior good
 - D. Good A is an inferior good and Good B is a normal good
- 3) All other things being equal, what makes the demand curve for a good more price elastic? [1.5]
- A. A decrease in the number and closeness of substitute goods
 - B. An increase in the number and closeness of substitute goods
 - C. Lesser proportion of consumers' incomes being spent on the good
 - D. None of the above
- 4) Which of the following statements is false? [1.5]
- Governments set minimum prices for the following reasons:
- A. To protect producer's incomes
 - B. To create a surplus
 - C. To deter the consumption of particular goods
 - D. To encourage consumption of particular goods
- 5) If tea and coffee are substitute goods, an increase in the price of coffee will [1.5]
- A. Shift the Marginal Utility curve for tea to the left
 - B. Shift the Marginal Utility curve for tea to the right
 - C. Does not affect the Marginal Utility curve for tea
 - D. Shift the Marginal Utility curve for coffee to the right
- 6) For a Budget Line showing combinations of two goods, if the price of either of the goods changes, it will: [1.5]
- A. Shift the Budget Line outwards
 - B. Shift the Budget Line inwards
 - C. Change the slope of the Budget Line
 - D. Not have any effect on the Budget Line
- 7) Which of the following statements is false? [1.5]
- In the short run:
- A. Production is subject to diminishing returns
 - B. It is assumed that one or more factors of production are fixed in in supply
 - C. Production function assumes technical efficiency in production
 - D. None of the Above

- 8) The long run marginal cost curve (LRMC) will be: [1.5]
- A. Below the Long run average cost (LRAC) curve when LRAC is falling
 - B. Above the Long run average cost (LRAC) curve when LRAC is falling
 - C. Equal to the Long run average cost (LRAC) curve when LRAC is falling
 - D. Below the Long run average cost (LRAC) curve when LRAC is rising
- 9) For a price taker firm: [1.5]
- A. Average revenue is greater than the price charged
 - B. Average revenue curve is above the demand curve
 - C. Demand curve is sloping
 - D. Demand curve is horizontal
- 10) If demand is price elastic, a decrease in price will lead to: [2]
- I. A proportionately larger increase in quantity demanded
 - II. A proportionately smaller increase in quantity demanded
 - III. Positive marginal revenue
 - IV. Negative marginal revenue
- Which of the above statements are true?
- A. I only
 - B. I and III
 - C. III only
 - D. IV only
- 11) A change in output causes: [1.5]
- A. An upward shift in the revenue curve
 - B. A downward shift in the revenue curve
 - C. A movement along the revenue curve
 - D. No movement along the revenue curve
- 12) Which of the following statements are true? [1.5]
- A. In the short run, a firm will shut down if it cannot cover its variable costs
 - B. In the long run, a firm will shut down if it cannot make normal profits
 - C. A firm's profits will be maximized at the point where there is the greatest gap between total revenue and total cost
 - D. All of the above
- 13) Under perfect competition, in the short run: [1.5]
- A. Firm's marginal revenue is greater than marginal cost
 - B. Firm's supply curve is upward sloping
 - C. The firm's supply curve is not dependent on the costs of production
 - D. The firm's supply curve is horizontal
- 14) Which of the following statements about Perfect Competition is true? [2]
- I. The long run equilibrium is where the price is equal to the long run average cost

- II. Perfect competition leads to a fair distribution of income
- III. Perfect competition will lead to economies of scale in the long run
- IV. Perfect competition could lead to consumer sovereignty

- A. I and II
- B. II and III
- C. III only
- D. I and IV

15) Which of the following is not an example Switching cost for a consumer under Monopoly? [1.5]

- A. Sunk costs
- B. Searching costs
- C. Contractual costs
- D. Learning costs

16) Which of the following statements is false? [1.5]

- A. Monopolist can use advertising to create barriers of entry
- B. Policy makers focus on sunk costs when considering anti-monopoly policy
- C. Lower the exit costs more the market is contestable
- D. All markets are perfectly contestable.

17) In a monopolistic competition: [2]

- I. There are many firms in the market
- II. There is independence of firms in a market
- III. There is some product differentiation
- IV. The firms are interdependent on each other

Which of the above statements are true?

- A. I and II
- B. I, II and III
- C. I, II ,III and IV
- D. I,III and IV

18) Which of the following is not a reason for Plant economies of scale : [1.5]

- A. Container Principle
- B. Multi Stage production
- C. By- Products
- D. Lower rate of interest for large firms

19) Which of the following is not an assumption for constructing the long run average cost curve? [1.5]

- A. Factor prices are given
- B. The state of technology and factor quality change only in the very long run
- C. Firms choose the least cost combination of factors for each output.
- D. Factor prices are same at different level of output

20) Under a Monopolistic Competition: [1.5]

- A. Firms have higher costs than perfectly competitive firms due to excess capacity
B. Firms have higher economies of scale than monopolies
C. Firms conduct more research and development than monopolies
D. There is less choice of products than perfect competition
- 21) Which of the following statements about Oligopoly is false: [1.5]
- A. There is interdependence of firms
B. Each firm is affected by its rival's actions
C. Cartel is an informal collusive agreement
D. Members of a cartel compete against each other using non-price competition
- 22) Tacit Collusion under an oligopoly does not include: [1.5]
- A. A formal arrangement between firms
B. Average cost pricing
C. Benchmark pricing
D. Price leadership
- 23) Cournot Model: [1.5]
- A. Is a model of monopolistic competition
B. Assumes that all the firms in the market sell their output for the same price
C. Assumes that all the firms in the market sell their output at different prices
D. Assumes that production has short lead times and is relatively flexible
- 24) Which of the following markets in India is contestable? [1.5]
- A. Defence Manufacturing
B. Natural Gas Distribution
C. Selling Groceries in a neighbourhood
D. Railways
- 25) A firm that produces a main product and a by-product will maximize profits if it: [1.5]
- A. Decides on the viability of producing the by-product after it has made the decision to produce the main product
B. Selects the combined output where the combined marginal cost equals the combined marginal revenue
C. Selects the level of output of the by-product where marginal cost of the by-product equals its marginal revenue
D. Uses cost-based pricing for the main product and the by-product
- 26) Heuristics might include: [2]
- I. Copying the strategy of the most profitable business in the market
II. Focussing on relative rather than absolute profits
III. Focussing on absolute rather than relative profits
IV. Making a satisfactory / target level of profit
- Which of the above statements are true?
- A. I and II
B. I, III and IV

- C.** II and IV
D. I,II and IV
- 27)** Which of the following factors not affect the mark up used in cost-based pricing? **[1.5]**
- A.** Elasticity of demand for the product
B. Corporate social spending
C. Competitor's prices
D. Average cost
- 28)** Which of the following statements are false? **[2]**
- I.** The substitution effect of a price change is always positive
II. The income effect for a Normal good is positive
III. The income effect for a Giffen good is positive
IV. The income effect of inferior good is positive
- A.** I and II
B. III only
C. I and IV
D. III and IV
- 29)** Government intervention in the market: **[1.5]**
- A.** Will not lead to shortages or surpluses
B. May be based on perfect information
C. Is cheaper in terms of administration
D. May stifle incentives
- 30)** Which of the following is a public good? **[1.5]**
- A.** The Army
B. Museums
C. Healthcare
D. Education
- 31)** Which of the following is not an example of collusion between firms? **[1.5]**
- A.** Horizontal Price Fixing arrangements
B. Agreements to limit production
C. Price discrimination
D. Bid Rigging
- 32)** Which of the following is not an approach to the environment and sustainability? **[1.5]**
- A.** Social Efficiency approach
B. The Green approach
C. The Gaia approach
D. The free market approach
- 33)** The following GDP data is given: **[1.5]**
- | | | |
|-----------------|------|------|
| | 2014 | 2024 |
| GDP in Millions | 300 | 600 |

GDP deflator (2000=100) 160

250

GDP for 2024 in 2014 prices is:

- A. 468.75 Million
 - B. 384 Million
 - C. 300 Million
 - D. 320 Million
- 34) Which of the following is not a reason for the government making direct provision of goods and services? [1.5]
- A. Social Justice
 - B. Large positive externalities
 - C. Imperfect information
 - D. Public ownership
- 35) Reducing the power of labour may lead to: [1.5]
- A. Increase in disequilibrium unemployment
 - B. Fall in equilibrium unemployment
 - C. More investment and hence economic growth.
 - D. Increase in cost push inflation
- 36) One of the arguments in favour of interventionist supply side policies is that: [1.5]
- A. The free rider problem results in too little Research and Development, Investment and Training
 - B. The private sector is less bureaucratic than the public sector
 - C. Deregulation increases competition
 - D. The free market results in the most efficient allocation of resources
- 37) Which of the following statements is false about socially efficient perfect markets: [1.5]
- A. Pareto Efficiency
 - B. Perfect competition
 - C. Presence of Externalities
 - D. Absence of market power
- 38) Suppose Country A and country B are trading partners. Which of the following statements is/are true if country A raises interest rates to tackle inflation. [2]
- I. It will drive up the interest rates in country B
 - II. If aggregate demand in country A falls, aggregate demand in country B also falls
 - III. Exports of country B fall
 - IV. Imports of country B rise
- A. I only
 - B. II and III
 - C. III and IV
 - D. I and II
- 39) If injections exceed withdrawals: [2]

- I. National income will rise
- II. National income will fall
- III. The resulting rise in national income will lead to a fall in withdrawals
- IV. The resulting fall in national income will lead to a rise in withdrawals

Which of the above statements are true?

- A. I only
 - B. II only
 - C. I and III
 - D. II and IV
- 40) Which of the following is not a reason for fall in demand for products as prices rise? [1.5]
- A. International substitution effect
 - B. Inter-temporal substitution effect
 - C. Real balance effect
 - D. Equilibrium effect
- 41) Which of the following is false? [1.5]
According to the Classical theory-
- A. An increase in money supply causes inflation
 - B. There will be no deficiency of demand and therefore no unemployment
 - C. Government spending should be less than taxation
 - D. Taxation must equal Government Spending
- 42) Keynesian argued that: [1.5]
- A. Labour markets are perfect
 - B. Labour markets exhibit considerable wage flexibility
 - C. In a recession, real wages would rise
 - D. Governments can play a role in helping to stimulate aggregate demand
- 43) Which of the following statements are true? [2]
- I. Actual growth is the percentage increase in national output produced
 - II. When actual output exceeds potential output, the output gap is negative
 - III. When actual output is less than the potential output, the output gap is negative
 - IV. When actual output is less than the potential output, the output gap is positive
- A. I and III
 - B. III only
 - C. I and II
 - D. I and IV
- 44) Which of the following statements about aggregate demand of country X is false? [1.5]
- Aggregate demand consists of spending by:
- A. Consumers on goods and services and firms on investments
 - B. The Government on goods, services, and investment
 - C. People abroad on Country X's exports

- D.** People of country X on imports
- 45)** Which of the following is not a form of equilibrium unemployment? **[1]**
- A.** Frictional unemployment
 - B.** Cyclical unemployment
 - C.** Structural unemployment
 - D.** Regional unemployment
- 46)** Which of the following is not a source of cost push inflation? **[1.5]**
- A.** Trade unions pushing up wages
 - B.** Firms with monopoly powers raising prices
 - C.** Increase in international commodity prices
 - D.** Globalization and increased international competition
- 47)** Balance of payments account consists of: **[2]**
- I.** Current account
 - II.** Capital account
 - III.** Financial account
 - IV.** Transfer account
- Which of the above statements are true?
- A.** III only
 - B.** I, II and III
 - C.** I, II and IV
 - D.** I, III and IV
- 48)** Which of the following factors can have a positive impact on exchange rates? **[1.5]**
- A.** High inflation rates
 - B.** High interest rates
 - C.** Capital outflows
 - D.** A rise in domestic incomes relative to incomes abroad
- 49)** Which of the following statements about free floating exchange rates is true? **[2]**
- I.** There is a lot of official intervention in foreign exchange market
 - II.** Little or no speculation
 - III.** Increase in interest rates in a particular country will raise the value of country's currency
 - IV.** If investment prospects increase in a country the value of its currency increases
- A.** I, II and III
 - B.** I and III
 - C.** I and II
 - D.** III and IV
- 50)** Recapitalization of a bank: **[2]**
- I.** Involves re-structuring existing capital
 - II.** Does not involve significant changes in the funding structure of a bank
 - III.** Involves new capital

IV. Is aimed at reducing systemic risk

Which of the above statements are true?

- A.** I and II
 - B.** III and IV
 - C.** II, III and IV
 - D.** I and IV
- 51)** Which of the following statements about money is false? **[1.5]**
- A.** It is a means of storing wealth
 - B.** It is a means of establishing the value of future claims and payments
 - C.** It is a means of evaluation
 - D.** An increase in money supply will increase the national income by the same amount.
- 52)** Which of the following is included in Equity tier 1 capital for calculation of Capital Adequacy Ratio? **[2]**
- I.** Bank reserves from retained profits
 - II.** Ordinary share capital
 - III.** Preference shares
 - IV.** Subordinated debt
- A.** I and II
 - B.** I, II and III
 - C.** II only
 - D.** All of the above
- 53)** Which of the following statements is true? **[1.5]**
- A.** Money supply is unaffected by an increase in the public sector deficit financed by borrowing from the non-bank private sector
 - B.** Money supply is decreased by an increase in the public sector deficit financed by borrowing from the non-bank private sector
 - C.** An increase in the commercial bank's liquidity ratios increases the money supply
 - D.** The sale of exports paid for in the domestic currency decreases the money supply
- 54)** Which of the following statements is false? **[1.5]**
- A.** Growth in aggregate demand may be restricted by reducing the money supply
 - B.** Growth in aggregate demand may be restricted by raising interest rates
 - C.** It is possible to use monetary policy as a precise means of controlling aggregate demand in the short term
 - D.** Money supply can be controlled by changing the method of funding the national debt
- 55)** Bank deposit multiplier is: **[1.5]**
- A.** Directly proportional to liquidity ratio
 - B.** The inverse of liquidity ratio
 - C.** The ratio of the increase of deposits to a contraction of bank's liquidity base
 - D.** The ratio of the increase of deposits to an expansion in bank's liabilities
- 56)** Which of the following equation is correct? **[1.5]**

- A. Money multiplier = Monetary base / broad money supply
B. Money multiplier= Monetary base* broad money supply
C. Broad money supply= monetary base / money multiplier
D. Broad money supply= Money multiplier* monetary base
- 57) If an increase in aggregate demand causes: [1.5]
A. Only output to increase, the aggregate supply curve must be vertical
B. Only output to increase, the aggregate supply curve must be horizontal
C. Only price to increase, the aggregate supply curve must be horizontal
D. Both output and price to increase, the aggregate supply curve must be vertical
- 58) Which of the following statements are false? [1.5]
I. Increased expectations of inflation will move the Phillips curve upwards
II. Increased expectations of inflation will move the Phillips curve downwards
III. If the economy suffers from Hysteresis, then the Phillips curve shifts to the right
IV. If the economy suffers from Hysteresis, then the Phillips curve shifts to the left
A. I and III
B. II and III
C. I and IV
D. II and IV
- 59) Which of the following will enhance the effectiveness of a pure fiscal expansion? [1.5]
I. Crowding out
II. Injections Multiplier
III. Confidence on behalf of businesses and banks
A. I only
B. I and II
C. II and III
D. I,II and III
- 60) Market oriented supply side policies does not include: [1.5]
A. Reducing the tax burden on workers and firms
B. Reducing welfare payments to reduce/remove the poverty trap
C. Encouraging competition
D. Nationalization
- 61) The economic functions of the financial system include: [2]
I. Maturity transformation
II. Risk reduction through diversification
III. The transfer of consumption across time
A. I only
B. I and II only
C. II and III only
D. I,II and III

- 62)** Which of the following statement is not true? **[1.5]**
- A.** Discount markets are an example of a money market
 - B.** Existing or new Treasury bills or Commercial bills are sold at a discount
 - C.** Only existing Treasury bills or Commercial bills are sold in the discount market
 - D.** Certificates of Deposit is a type of interbank lending
- 63)** Stagflation is a combination of: **[1]**
- A.** Low growth, high unemployment, and high inflation
 - B.** High growth, low unemployment, and high inflation
 - C.** High growth, high unemployment, and high inflation
 - D.** High growth, low unemployment, and low inflation
